Court File No.: CV-26-00001156-0000

ONTARIO
SUPERIOR COURT OF JUSTICE

B E T W E E N:

MASOUMEH SARMAD

Plaintiff

- and -

KHANH MING NGO and YANJUN LIU

Defendants

STATEMENT OF DEFENCE AND CROSSCLAIM OF THE DEFENDANT, YANJUN LIU

1. Except as may be specifically admitted herein, the Defendant, Yanjun Liu (hereinafter “This Defendant”), denies all of the allegations and/or facts contained in the Statement of Claim. This Defendant specifically denies that the Plaintiff, Masoumeh Sarmad (hereinafter “the Plaintiff”) is entitled to the relief sought in paragraph 1 of the Statement of Claim.

2. This Defendant admits the allegations contained in paragraph 4 of the Statement of Claim.

3. This Defendant has no knowledge in respect of the allegations relating to the residence and vehicles of the Plaintiff and the Co-Defendant, Khanh Minh Ngo, contained in paragraphs 2 and 3 of the Statement of Claim.

4. This Defendant states that at all material times, they operated their motor vehicle in a safe and prudent manner.

5. This Defendant admits that the subject matter of this action is a motor vehicle accident which occurred on or about August 23, 2025 at or near the intersection of Highway 7 W and Jane Street in the City of Vaughan, in the Province of Ontario, but denies that the said collision occurred as a result of any breach of duty, want of care, or any negligence on the part of this Defendant.

6. This Defendant denies that the Plaintiff sustained the injuries and/or damages as alleged in the Statement of Claim and puts the Plaintiff to the strict proof thereof.

7. This Defendant pleads and relies upon section 267.5 of the *Insurance Act*, ("the Act"), R.S.O. 1990, c.1.8, as amended, and denies that the Plaintiff has sustained a permanent serious disfigurement, or permanent serious impairment of an important physical, mental or psychological function, and therefore pleads that the Plaintiff is precluded from recovering damages for non-pecuniary loss or for health care expenses. In the alternative, This Defendant pleads that the Plaintiff's claims are eliminated by the non-pecuniary loss deductible set out in the Act.

8. This Defendant states that if the Plaintiff sustained the injuries, losses or damages alleged in the Statement of Claim, such injuries, losses or damages were caused or contributed to by the Plaintiff's own negligence. In the alternative, if the Plaintiffs sustained any injuries and/or damages, which is not admitted but expressly denied, then such injuries or damages were caused or contributed to by the negligence of:

(a) the Plaintiff, the particulars of which are as follows:

(i.) They failed to keep a proper lookout;

(i.) By the exercise of reasonable care, they could and should have seen this Defendant motor vehicle, and they could and should have avoided the accident;

(ii.) They operated their motor vehicle carelessly without due care and attention or without reasonable consideration for other persons using the highway;

(iii.) They failed to take any necessary steps or any steps to avoid an accident when they saw or should have seen that an accident was about to occur;

(iv.) They were an incompetent and unqualified driver;

(v.) They had the last chance to avoid the accident by the exercise of reasonable care but failed to do so;

(vi.) They created an emergency and a situation of danger;

(vii.) They did not avoid an accident when they should have done so even after the danger thereof had arisen, by the exercise of reasonable care, skill and ability;

(viii.) On the occasion in question, they were an incompetent driver lacking reasonable skill, ability, training and self command, and ought not to have attempted to operate a motor vehicle;

(ix.) They failed to have their motor vehicle in a state of mechanical repair suitable for safe use upon a highway;

(x.) They were operating their motor vehicle at a time when their ability to do so was impaired by alcohol or drugs;

(xi.) They operated their motor vehicle at a time when they were drowsy and in imminent danger of falling asleep;

(xii.) They were driving with impaired or obstructed vision;

(xiii.) They failed to properly utilize the safety equipment with which the vehicle was equipped;

(xiv.) in operating the motor vehicle they permitted themselves to become distracted by equipment inside the said vehicle including radio and stereo system, an electronic cellular device and otherwise;

(xv.) They failed to observe the rules of the road as required by parts IX and X of the Highway Traffic Act, R.S.O. 1990, c. H.8, as amended.

(b) the Co-Defendant, **Khanh Minh Ngo**, the particulars of which are as follows:

(i.) They failed to keep a proper lookout;

(ii.) They were travelling at an excessive rate of speed considering the circumstances;

(iii.) They failed to signal, sound their horn or give any other warning of their approach;

(iv.) By the exercise of reasonable care, they could and should have seen this Defendant's motor vehicle, and they could and should have avoided the accident;

(v.) They failed to slow down or stop or turn sufficiently to the right or left so as to avoid the motor vehicle accident;

(vi.) They operated their motor vehicle carelessly without due care and attention or without reasonable consideration for other persons using the highway;

(vii.) They made no attempt to stop;

(viii.) They did not apply their brakes properly, or at all or, in the alternative, they were operating a motor vehicle with brakes which were defective and out of repair, which they knew or ought to have known;

(ix.) They failed to take any necessary steps or any steps to avoid an accident when they saw or should have seen that an accident was about to occur;

(x.) They were an incompetent and unqualified driver;

(xi.) They had the last chance to avoid the accident by the exercise of reasonable care but failed to do so;

(xii.) They created an emergency and a situation of danger;

(xiii.) They did not avoid an accident when they should have done so even after the danger thereof had arisen, by the exercise of reasonable care, skill and ability;

(xiv.) They failed to yield to traffic around them;

(xv.) They did not have their motor vehicle under proper control;

(xvi.) On the occasion in question, they were an incompetent driver lacking reasonable skill, ability, training and self command, and ought not to have attempted to operate a motor vehicle;

(xvii.) They failed to ensure that the tires of their motor vehicle were in proper working order;

(xviii.) They failed to have their motor vehicle in a state of mechanical repair suitable for safe use upon a highway;

(xix.) They were operating their motor vehicle at a time when their ability to do so was impaired by alcohol or drugs;

(xx.) They operated their motor vehicle at a time when they were drowsy and in imminent danger of falling asleep;

(xxi.) They were driving with impaired or obstructed vision;

(xxii.) In operating the motor vehicle they permitted themselves to become distracted by equipment inside the said vehicle including radio and stereo system, cellular telephone and otherwise;

(xxiii.) They failed to observe the rules of the road as required by parts IX and X of the Highway Traffic Act, R.S.O. 1990, c. H.8, as amended.

9. In the alternative, This Defendant pleads that the injuries and/or damages sustained by the Plaintiff as alleged in the Statement of Claim, which are not admitted, but specifically denied, were caused or contributed to by the negligence of the Co-Defendant, Khanh Minh Ngo, and the particulars of which This Defendant adopts as alleged in paragraphs 7(A) and (B) of the Statement of Claim as it pertains to the Co-Defendant.

10. If the Plaintiff sustained any injuries, losses or damages as a result of the motor vehicle accident, which is not admitted but specifically denied, such injuries were caused or contributed by the Plaintiff's failure to make use of, or proper use of, available seatbelts, shoulder harness, head restraints, and or other restraining devices which the vehicle was equipped, contrary to s. 106 of the *Highway Traffic Act*, RSO 1990, c H.8. If the safety equipment had been used, or properly used, it would have prevented or substantially reduced the injuries the Plaintiff allegedly sustained, which are not admitted but specifically denied. In this regard, the Plaintiff is contributorily negligent.

11. This Defendant pleads that if the Plaintiff sustained any damages as alleged, which is not admitted, but specifically denied, the Plaintiff's claim for damages are exaggerated, excessive, remote and not recoverable at law and this Defendant puts the Plaintiff to the strict proof thereof.

12. This Defendant pleads that if the Plaintiff sustained any injuries in the accident referred to in the Statement of Claim, which is not admitted but denied, then they failed

to mitigate the effect of those injuries by taking advantage of proper medical care, rehabilitation and other medical and occupational retraining that was available.

13. This Defendant further states that the injuries of the Plaintiff were caused or contributed to as a result of injuries, illness, disease or other medical conditions which pre-date the accident which is the subject of this action and for which, in law, this Defendant is not responsible. In the alternative, the injuries were caused by subsequent accidents, injuries, illnesses, diseases, other medical conditions, or an intervening act which broke any chain of causation, or the actions of a third party for whom this Defendant is not in law responsible, and the Plaintiff has failed to mitigate their damages.

14. This Defendant pleads that they are entitled to be credited to the extent of all collateral benefits received by or available to the Plaintiff in respect of the motor vehicle accident pursuant to section 267.8(1) of the *Insurance Act*, R.S.O. 1990 c.I.8 as amended.

15. This Defendant further states that the Plaintiff herein has no claim for damages or expenses that have been incurred or will be incurred for health care resulting from any bodily injury arising directly or indirectly from the motor vehicle accident, giving rise to this action and this Defendant specifically states that the Plaintiff has not sustained an impairment as defined in the Regulations passed under the *Insurance Act,* R.S.O. 1990 c.I.8 as amended.

16. This Defendant pleads and relies upon the provisions of the *Insurance Act*, R.S.O. 1990, c.I.8, and in particular, sections 267.4 to 267.11 and all relevant amendments thereto.

17. This Defendant denies that the Plaintiff has suffered a past, present, and/or future loss of income, a loss of competitive advantage, a loss of income earning potential and/or a diminution of income earning capacity as a result of the motor vehicle accident referred to in the Statement of Claim and puts the Plaintiff to the strict proof thereof.

18. This Defendant claims a credit for all insurance monies paid to or available to the Plaintiff, and for all collateral benefits pursuant to s. 267.8 of the *Insurance Act*, including but not limited to monies paid or available to the Plaintiff in respect of the following:

(a) Income loss and loss of competitive advantage;

(b) Health care expenses; and

(c) Other pecuniary loss.

19. This Defendant pleads that recovery of any income loss or loss of earning capacity sustained by the Plaintiff is precluded pursuant to s. 267.5(1) and (2) of the Act and specifically pleads that they are not liable to the Plaintiff for:

(a) Damages for income loss suffered in the seven days after each accident;

(b) Damages for income loss suffered more than seven days after each accident and before the trial of this action in excess of 70% of the gross income loss, as determined in accordance with the Insurance Act Regulations, suffered during that period;

(c) Damages for loss of earning capacity suffered after the accident and before the trial of this action in excess of 70% of the gross loss of earning capacity,

as determined in accordance with the Insurance Act Regulations, suffered during that period; and

(d) Damages for expenses that have incurred or will be incurred for healthcare resulting from bodily injury arising directly from or indirectly from the accident.

20. This Defendant specifically pleads that the Plaintiff has failed to meet all the criteria contained in section 4.2 and has failed to adduce the evidence required by section 4.3 of Ontario Regulation 461/96 as amended.

21. This Defendant pleads that the Plaintiff has failed to comply with the notice provisions contained in section 258.3 of the *Insurance Act*, R.S.O. 1990 c.I.8 as amended and section 2 of Regulation 461/96 there under. This Defendant therefore pleads that the Plaintiff's claim is barred by law.

22. This Defendant pleads insufficient particulars of the Plaintiff's injuries or damages have been provided to it either prior to the commencement of the litigation or in the Statement of Claim and as such states that the Plaintiff is not entitled to pre-judgment interest.

23. The Plaintiff has failed to preserve evidence in their power, possession or control and which is relevant and material to the determination of the issues in this action. The failure to preserve this evidence has prejudiced this Defendant's ability to present a full answer and defence and to fairly and properly defend the claim. This Defendant pleads

and relies on the doctrine of spoliation of evidence, and requests that this action be dismissed as against them.

24. This action ought to have been commenced in accordance with the provisions of section 23 of the *Courts of Justice Act,* R.S.O. 1990. C. C.43, and its regulations or in accordance with Rule 76 of the *Rules of Civil Procedure*, as amended. The Plaintiff is not entitled to costs, and are obliged to pay any costs incurred by This Defendant that would not have been incurred but for the failure to commence this action in accordance with section 23 of the *Courts of Justice Act* or Rule 76 of the *Rules of Civil Procedure.*

25. In addition to the foregoing, this Defendant pleads and relies upon the provisions of:

(a) The *Courts of Justice Act*, R.S.O. 1990, c.C.45, as amended;

(b) The *Highway Traffic Act,* R.S.O. 1990, c. H.8. as amended;

(c) The *Negligence Act,* R.S.O. 1990, c. N.1, as amended;

(d) The *Insurance Act*, R.S.O. 1990, c. I.8, as amended; and

(e) The *Rules of Civil Procedure*, R.R.O 1990, Reg. 194, as amended.

26. The Defendant, Yanjun Liu, requests that this action be dismissed as against them with costs payable on a substantial indemnity scale.

CROSSCLAIM

27. The Defendant, Yanjun Liu, claims against the Co-Defendant, Khanh Minh Ngo (hereinafter “the Co-Defendant”):

(a) contribution and indemnity under sections 2 and 3 of the *Negligence Act*, R.S.O. 1990, c. N.1, as amended, for any amounts which the Defendant, Yanjun Liu, may be found to be responsible to the Plaintiff;

(b) contribution and indemnity under the common law and equity for any amounts which the Defendant, Yanjun Liu, may be found to be responsible to the Plaintiff;

(c) the costs of the main action, plus all applicable taxes;

(d) the costs of this Crossclaim, plus all applicable taxes; and,

(e) Such further and other Relief as to this Honourable Court may deem just.

28. The Defendant, Yanjun Liu, repeats and relies upon the allegations contained in the Statement of Defence in support of the Crossclaim against the Co-Defendant.

29. The Defendant, Yanjun Liu, repeats and adopts the allegations of negligence as set out in the Statement of Claim against the Co-Defendant only, as contained in paragraphs 7(A) and (B) of the Statement of Claim as it pertains to the Co-Defendant.

30. The Defendant, Yanjun Liu, proposes that this crossclaim be tried together with or immediately after the trial of the main action or as this Honourable Court may otherwise direct.

June 17, 2026

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Defendant

Electronically filed / Déposé par voie électronique : 18-Jun-2026
Newmarket Superior Court of Justice / Cour supérieure de justice

MASOUMEH SARMAD
Plaintiff

v.

Court File No. CV-26-00001156-0000
KHANH MINH NGO and YANJUN LIU
Defendants

ONTARIO
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PROCEEDING COMMENCED AT
NEWMARKET

STATEMENT OF DEFENCE AND CROSSCLAIM OF THE DEFENDANT, YANJUN LIU

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